

CRYPTO HEDGE FUND – FULL CAPITAL & OPERATING MODEL (2026)

1. Capital Raise Roadmap

- Phase 1 – Seed Capital (\$5M–\$15M): Founder capital, HNW contacts, crypto-native investors. Objective: build 6–12 month verified track record.
- Phase 2 – Anchor Investor (\$25M–\$75M): Single large allocator or family office. May negotiate fee discount (1.5 & 15) or revenue share. Objective: institutional credibility.
- Phase 3 – Institutional Scale (\$100M+): Fund-of-funds, endowments, pensions, sovereign entities. Requires audited track record (2–3 years), top-tier service providers, strong risk framework.

Expected Timeline: 0–12 months (Seed), 12–24 months (Anchor), 24–36 months (Institutional).

2. Partner Equity Split Model (Management Company)

Role	Equity %	Vesting
Founder / CIO	40–60%	4-year vesting, 1-year cliff
COO / Ops Partner	15–25%	4-year vesting
Quant Lead / CTO	10–20%	4-year vesting
Capital Raising Partner	10–20%	Performance-based vesting
Employee Option Pool	5–10%	Standard vesting schedule

Note: Equity applies to the Management Company (receives management & performance fees), not directly to fund AUM.

3. Detailed Annual Operating Expense Breakdown (Institutional Grade)

Category	Estimated Annual Cost
CIO Compensation	\$250k–\$400k

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COO / Operations	\$200k–\$300k
Quant Developer(s)	\$250k–\$500k
Compliance & MLRO	\$120k–\$200k
Fund Administrator	\$100k–\$250k
Audit (Big 4 / Tier 1)	\$75k–\$150k
Legal (Ongoing)	\$75k–\$200k
Technology & Data	\$150k–\$300k
Office & Infrastructure	\$100k–\$250k
Insurance (D&O, E&O)	\$40k–\$100k
Prime Brokerage / Custody	\$50k–\$150k

Estimated Total Annual Operating Cost Range: \$1.3M – \$2.5M depending on jurisdiction and staffing depth.